

4.	26CV0466	888 ZHU LLC vs. LUCKY DONG 168, INC.
Preliminary Injunction		

This case involves an alleged agreement to sell the restaurant business known as Hong Kong Inn – Defendant is the current owner, and Plaintiff is a former owner and is seeking to buy the restaurant.

According to the Motion, the parties entered into a written purchase agreement in 2024, wherein Defendant agreed to sell the restaurant to Plaintiff. Plaintiff states that on February 25, 2024, Defendant accepted from Plaintiff a cash payment of \$66,000 for the purchase of the business and executed a written receipt confirming that the \$66,000 cash payment was received for the purchase of the business. Plaintiff states it proceeded with escrow and participated in the process of transferring the ABC license. After accepting Plaintiff's payment and executing the written agreement and escrow documents, Plaintiff states that Defendant refused to proceed with completion of the sale. Defendant attempted to rescind the transaction by returning the cash payment. Plaintiff states it did not consent to rescission and demanded performance of the agreement. Plaintiff states Defendant has refused to proceed with escrow and has indicated an intent to sell or transfer the business to another buyer.

California courts decide motions for preliminary injunction by evaluating the moving party's likelihood of success on the merits and by weighing the interim harm that the moving party is likely to sustain if the injunction is denied against the harm the opposing party is likely to suffer if the injunction is granted. (*IT Corp. v. County of Imperial* (1987) 35 Cal.3d 63, 69.) The purpose of a preliminary injunction is to preserve the status quo pending final adjudication. (*White v. Davis* (2003) 30 Cal.4th 528, 554.) When the injunction is sought to prevent an act that would render the ultimate judgment ineffectual, injunctive relief is particularly appropriate because the court's equitable power exists to prevent irreparable injury and to preserve its ability to grant complete relief at the conclusion of the case. (*IT Corp., supra*, 35 Cal.3d at 73–74.)

The Court agrees that a preliminary injunction is appropriate. Plaintiff has established the purchase agreement exists and Defendant does not dispute that. Whether or not the agreement was rescinded is a factual dispute. When weighing the harm, Defendant argues that Plaintiff will "suffer absolutely no harm" if the injunction is denied. (Opp. p. 6) However, the Court disagrees – if the preliminary injunction is denied and Defendant sells the business, there is significant harm to Plaintiff because it would not be possible to uphold the agreement. If the preliminary injunction is granted, the harm to Defendant is continuing to operate the business and not being able to sell to a third party, making it more likely that Defendant will suffer no harm. For these reasons, the Court grants the preliminary injunction.

TENTATIVE RULING #4: MOTION FOR PRELIMINARY INJUNCTION IS GRANTED.

NO HEARING ON THIS MATTER WILL BE HELD UNLESS A REQUEST FOR ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 621-6551 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; LOCAL RULE 8.05.07; SEE ALSO LEWIS V. SUPERIOR COURT, 19 CAL.4TH 1232, 1247 (1999).

NOTICE TO ALL PARTIES OF A REQUEST FOR ORAL ARGUMENT AND THE GROUNDS UPON WHICH ARGUMENT IS BEING REQUESTED MUST BE MADE BY TELEPHONE OR IN PERSON BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. CAL. RULE CT. 3.1308; EL DORADO COUNTY LOCAL RULE 8.05.07. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.

LONG CAUSE HEARINGS MUST BE REQUESTED BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED AND THE PARTIES ARE TO PROVIDE THE COURT WITH THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. LONG CAUSE ORAL ARGUMENT REQUESTS WILL BE SET FOR HEARING ON ONE OF THE THREE MUTUALLY AGREEABLE DATES ON FRIDAY AFTERNOONS AT 2:30 P.M. THE COURT WILL ADVISE THE PARTIES OF THE LONG CAUSE HEARING DATE AND TIME BY 5:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. PARTIES MAY PERSONALLY APPEAR AT THE HEARING.